

STATE OF THE ECONOMY



Dhiraj Nayyar, Chief Economist, Vedanta Resources

» Speaking about the multiplier effect of the Budget, Nayyar said if you cut taxes, individuals are likely to spend, and then you would have a positive effect on demand



Rumki Majumdar, Senior Economist, Deloitte

» Majumdar said inflation has so far been a supply-side problem, whereas demand has been muted. "Right now, we need the demand to spur growth," she said



Abheek Barua, Former chief economist, HDFC Bank

» Barua said the Budget will likely be slightly inflationary for some consumer products. "FMCG companies will perhaps witness an uptick in margins," he added



RATIONALISING GST

(From left) **Rajdeep Sardesai**, Consulting Editor, India Today Television; **P. Chidambaram**, Member of Parliament and former finance minister

» Chidambaram welcomed the increase in the tax exemption threshold, but argued that broader relief measures are necessary. "GST should have been cut, or taxes on petrol and diesel should have been reduced," he said

» On global risks, he pointed to uncertainties in the US, saying, "Headwinds will be there. This time it comes with an unpredictable US President. The government should hold closed-door discussions with opposition leaders"



THE POLITICS OF THE BUDGET

(From left) **Jasmine Shah**, Former Vice Chairperson of the Dialogue & Development Commission of Delhi, AAP; **Praveen Chakravarty**, Chairman—Professionals' Congress & Data Analytics, Indian National Congress; **Amit Malviya**, In-charge of National Information & Technology Department, BJP

» Malviya defended the government's fiscal measures, saying, "This Budget provides relief not only for the middle class but for young professionals."

» Chakravarty criticised the government's focus on tax rebates while increasing indirect taxes. "...

It [government] has raised indirect taxes on essentials like food items and fuel," he argued

» Shah expressed concern about the Budget's focus. "The Budget favours corporate interests and does not adequately address the needs of the public," he said